

D250

Governmental and Nonprofit Accounting

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A city of 85,000 residents receives a state grant that may be spent only on road maintenance. The mayor was re-elected in November. The city wants to track these resources separately. Which governmental fund should it use?

- A. The general fund.
- B. A special revenue fund.
- C. A capital projects fund.
- D. An enterprise fund.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A town runs a water utility that charges residents fees and a general fund that pays for police. The town council has seven members. Which measurement focus and basis does the water utility fund use in its fund statements?

- A. Cash basis.
- B. Current financial resources focus, modified accrual basis.
- C. Modified accrual, because every government fund uses it.
- D. Economic resources focus, full accrual basis.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A city levies \$5,000,000 in property taxes for the fiscal year ending June 30. It collects \$4,400,000 by June 30, another \$350,000 in July and August, and the rest later in the fall. The city's finance director is a CPA. Assume all taxes will be collected. Using the 60-day availability rule, how much property tax revenue does the general fund recognize for the year?

- A. \$4,400,000
- B. \$5,000,000
- C. \$4,750,000
- D. \$250,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

Under modified accrual, a government recognizes \$2,100,000 of property tax revenue. Its levy was \$2,400,000, and \$1,900,000 was collected during the year. How much was collected in the availability period after year-end?

- A.** \$2,100,000
- B.** \$200,000
- C.** \$300,000
- D.** \$500,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

The parks department of a town with 14 parks issues a \$30,000 purchase order for playground mulch. The supplier is local and family-owned. What does the general fund record when the order is placed?

- A.** An expenditure and account payable of \$30,000.
- B.** A credit to encumbrances of \$30,000.
- C.** An encumbrance of \$30,000, with no expenditure yet.
- D.** No entry of any kind.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A \$30,000 encumbrance was recorded for mulch. The invoice arrives for \$29,400. What does the general fund record?

- A.** Reverse the \$30,000 encumbrance and record a \$29,400 expenditure.
- B.** Reverse \$29,400 of the encumbrance and record a \$29,400 expenditure.
- C.** Record a \$30,000 expenditure.
- D.** Record a \$600 gain.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A county's general fund pays \$400,000 cash for a new fire truck expected to last 10 years. The county has a AA bond rating. How is the purchase reported in the general fund and in the government-wide statements?

- A. An expenditure in both.
- B. General fund: \$40,000 depreciation expense.
- C. A capital asset in both.
- D. General fund: \$400,000 capital outlay expenditure; government-wide: \$400,000 capital asset, depreciated.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

A city issues \$1,000,000 of 20-year bonds to build a library and records the proceeds in a capital projects fund. How are the bonds reported in that fund?

- A. As \$1,000,000 of revenue.
- B. As a \$1,000,000 capital asset.
- C. As a \$1,000,000 bonds payable liability.
- D. As a \$1,000,000 other financing source, with no long-term liability in the fund.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A state prepares its government-wide financial statements. It runs a pension trust fund for 40,000 retired employees and a toll-road enterprise fund. The governor recently signed a tourism bill. Which is excluded from the government-wide statements?

- A. The toll-road enterprise fund.
- B. The general fund.
- C. The pension trust fund.
- D. Nothing; government-wide means every fund.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A private nonprofit museum with 20,000 annual visitors receives a \$100,000 gift that the donor says must be used for a 2027 exhibit. The museum's director is a noted art historian. How is the gift reported when received?

- A.** Deferred revenue, a liability.
- B.** Contribution revenue that increases net assets with donor restrictions.
- C.** Contribution revenue that increases net assets without donor restrictions.
- D.** Nothing until the money is spent.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A city's central garage, staffed by 18 mechanics, repairs vehicles for the police, fire, and parks departments and bills each department for the cost of the work. The garage moved to a new building last year. Which fund type fits?

- A.** An internal service fund.
- B.** A special revenue fund.
- C.** An enterprise fund.
- D.** The general fund.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

Which activity is best reported in an enterprise fund?

- A.** A city-owned electric utility that sells power to residents and businesses.
- B.** A pension plan for firefighters.
- C.** The police department.
- D.** A print shop that serves only city departments.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

A city of ~~85,000 residents~~ receives a state grant that may be spent only on road maintenance. ~~The mayor was re-elected in November.~~ The city wants to track these resources separately. Which governmental fund should it use?

Target word: fund type **Decides:** Revenue restricted to a specific operating purpose.

A	Dropped element	Ignores the restriction and the need to track the grant separately.
B	Correct	Used for revenue restricted to a specified purpose other than debt service or major capital projects.
C	Confusion set	Routine road maintenance is not major capital construction.
D	Adjacent category	Enterprise funds are business-type activities funded by user fees.

2. Answer D Concept 2

A town runs a water utility that charges residents fees and a general fund that pays for police. ~~The town council has seven members.~~ Which measurement focus and basis does the water utility fund use in its fund statements?

Target word: focus and basis for a proprietary fund **Decides:** A fee-based business-type activity is a proprietary fund.

A	Adjacent category	GAAP for governments does not use the cash basis.
B	Confusion set	That is for governmental funds such as the general fund.
C	Absolute language	Proprietary and fiduciary funds use full accrual.
D	Correct	Proprietary funds are accounted for like businesses.

3. Answer C Concept 3

A city levies \$5,000,000 in property taxes for the fiscal year ending June 30. It collects \$4,400,000 by June 30, another \$350,000 in July and August, and the rest later in the fall. ~~The city's finance director is a CPA.~~ Assume all taxes will be collected. Using the 60-day availability rule, how much property tax revenue does the general fund recognize for the year?

Target word: modified accrual revenue **Decides:** Collected in the year plus within 60 days after.

A	Dropped element	Leaves out collections within the availability period.
B	Adjacent category	Full levy is the full-accrual (government-wide) amount.
C	Correct	\$4,400,000 + \$350,000 collected within 60 days.
D	Inverted operation	That is the amount deferred, not recognized.

4. Answer B Concept 3 • transfer

Under modified accrual, a government recognizes \$2,100,000 of property tax revenue. Its levy was \$2,400,000, and \$1,900,000 was collected during the year. How much was collected in the availability period after year-end?

Target word: solve for post-year-end collections **Decides:** Revenue = collections in year + collections within the availability period.

A	Wrong stem number	That is the revenue recognized.
B	Correct	$\$2,100,000 - \$1,900,000 = \$200,000$.
C	Inverted operation	$\$2,400,000 - \$2,100,000$ is the deferred inflow.
D	Dropped element	Levy minus year collections is everything still uncollected at year-end.

5. Answer C Concept 4

~~The parks department of a town with 14 parks~~ issues a \$30,000 purchase order for playground mulch. ~~The supplier is local and family owned.~~ What does the general fund record when the order is placed?

Target word: entry at order date **Decides:** An order is a commitment, not yet an expenditure.

A	Adjacent category	No liability exists until the goods arrive.
B	Inverted operation	Placing the order debits encumbrances; the credit comes at reversal.
C	Correct	Encumbrances track commitments against the budget.
D	Dropped element	Ignores budgetary control over commitments.

6. Answer A Concept 4 • transfer

A \$30,000 encumbrance was recorded for mulch. The invoice arrives for \$29,400. What does the general fund record?

Target word: entry at invoice **Decides:** Reverse the original encumbrance; record the actual cost.

A	Correct	The full commitment is released and the actual amount is charged.
B	Dropped element	Leaves \$600 encumbered for an order that is complete.
C	Wrong stem number	Uses the order amount instead of the invoice.
D	Confusion set	Budgetary savings are not gains.

7. Answer D Concept 5

~~A county's general fund~~ pays \$400,000 cash for a new fire truck expected to last 10 years. ~~The county has a AA bond rating.~~ How is the purchase reported in the general fund and in the government-wide statements?

Target word: reporting in both views **Decides:** Fund = current resources; government-wide = economic resources.

A	Dropped element	Government-wide statements capitalize the truck.
B	Adjacent category	Governmental funds do not depreciate.
C	Confusion set	Governmental funds do not report capital assets.
D	Correct	Each view uses its own measurement focus.

8. Answer D Concept 5 · transfer

A city issues \$1,000,000 of 20-year bonds to build a library and records the proceeds in a capital projects fund. How are the bonds reported in that fund?

Target word: debt in a governmental fund **Decides:** Current financial resources focus.

A	Adjacent category	Borrowing is a financing source, not revenue.
B	Inverted operation	Confuses the source of cash with what it will buy.
C	Confusion set	That is the government-wide treatment.
D	Correct	Long-term debt appears only in government-wide statements.

9. Answer C Concept 6

A state prepares its government-wide financial statements. It runs a pension trust fund for 40,000 retired employees and a toll-road enterprise fund. ~~The governor recently signed a tourism bill.~~ Which is excluded from the government-wide statements?

Target word: what is excluded **Decides:** Fiduciary resources are not the government's to use.

A	Confusion set	Included as a business-type activity.
B	Adjacent category	Governmental activities are the core of the government-wide statements.
C	Correct	Fiduciary funds are excluded from government-wide statements.
D	Absolute language	Fiduciary funds are left out.

10. Answer B Concept 7

A private nonprofit museum ~~with 20,000 annual visitors~~ receives a \$100,000 gift that the donor says must be used for a 2027 exhibit. ~~The museum's director is a noted art historian.~~ How is the gift reported when received?

Target word: reporting a restricted gift **Decides:** The donor limited the gift's purpose and timing.

A	Adjacent category	A restriction is not a condition; the gift is revenue now.
B	Correct	Restricted gifts are revenue in the restricted class until released.
C	Inverted operation	Ignores the donor's restriction.
D	Dropped element	Unconditional gifts are recognized when received.

11. Answer A Concept 8

A city's central garage, ~~staffed by 18 mechanics~~, repairs vehicles for the police, fire, and parks departments and bills each department for the cost of the work. ~~The garage moved to a new building last year.~~ Which fund type fits?

Target word: fund type **Decides:** Customers are other city departments.

A	Correct	Serves other departments on a cost-reimbursement basis.
B	Dropped element	Ignores that the garage charges fees for services.
C	Confusion set	Enterprise funds sell mainly to the public.
D	Adjacent category	A cost-reimbursed service to other departments belongs in a proprietary fund.

12. Answer A Concept 8 · transfer

Which activity is best reported in an enterprise fund?

Target word: reverse: find the enterprise activity **Decides:** Fees charged mainly to the public.

A	Correct	Business-type activity serving the public for fees.
B	Confusion set	A fiduciary fund.
C	Adjacent category	A tax-funded governmental activity.
D	Inverted operation	Internal customers: internal service fund.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	8	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	10	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	6	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	8	
Camouflage	Answers a stem fact that was never the question.	0	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Governmental fund types	General fund = everything not required elsewhere; special revenue = restricted or committed revenue for a purpose; capital projects = major capital construction or acquisition; debt service = paying long-term debt principal and interest; permanent = earnings-only endowments.	Putting restricted operating grants in the general fund or capital projects fund.	A revenue source restricted to a specific operating purpose.
2	Measurement focus and basis	Governmental funds use current financial resources and modified accrual; proprietary funds and government-wide statements use economic resources and full accrual.	Assuming every government fund uses modified accrual.	A fee-charging utility or other business-type activity.
3	Modified accrual revenue: available	Governmental funds recognize revenue when measurable and available; for property taxes, available means collected within the year or about 60 days after.	Recognizing the full levy, or only what was collected by year-end.	A levy, year-end collections, and collections shortly after year-end.
4	Encumbrances	A purchase order records an encumbrance (budgetary commitment); when the invoice arrives, reverse the encumbrance for the original amount and record the actual expenditure.	Recording an expenditure at the order date, or reversing only the invoiced amount.	A purchase order, then an invoice that differs from it.
5	Capital assets and long-term debt in governmental funds	Governmental funds report capital purchases as expenditures and bond proceeds as other financing sources; government-wide statements capitalize the assets and report the bonds as liabilities.	Capitalizing assets or recording bond liabilities in the fund statements.	"In the general fund ... and in the government-wide statements."
6	Government-wide statements scope	Government-wide statements report governmental and business-type activities; fiduciary funds (e.g., pension trusts) are excluded.	Thinking government-wide means every fund.	A pension trust or custodial fund in a list of activities.
7	Nonprofit net asset classes	A private nonprofit reports donor-restricted gifts as contributions increasing net assets with donor restrictions until the restriction is met.	Treating a restricted gift as a liability or as unrestricted revenue.	A donor limits the purpose or timing of a gift.

#	Concept	Rule	Trap	Tell
8	Enterprise vs. internal service funds	Enterprise funds sell goods or services mainly to the public for fees; internal service funds serve other departments of the same government on a cost-reimbursement basis.	Calling any fee-based activity an enterprise fund.	Who the customers are: the public or other departments.

Course scope (public description): Governmental and Nonprofit Accounting provides learners with the skills and knowledge required to practice accounting for governmental and nonprofit entities: analyzing and recording transactions, financial statement preparation in accordance with Governmental Accounting Standards Board (GASB) standards, and communication.